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ADM/CS/101

5th March, 2015



The Chief Executive Officer
Capital Markets Authority
Embankment Plaza, 5th Floor
NAIROBI

Dear Sir,

**RE:UNAUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDEND 3ST
DECEMBER, 2014**

The above subject refers.

Enclosed herein please find our Unaudited Financial Statements for the above period.

Kindly acknowledge receipt by stamping on the attached letter.

Yours Faithfully
MUMIAS SUGAR COMPANY LTD



Amuhaya Barasa
Ag. COMPANY SECRETARY

Encl.

Cc: The Chief Executive Officer
Nairobi Securities Exchange
P.O. Box 43633
NAIROBI



UNAUDITED RESULTS
FOR SIX MONTHS ENDED 31 DECEMBER 2014

MUMIAS SUGAR COMPANY LIMITED
CONDENSED STATEMENT OF COMPREHENSIVE INCOME
FOR THE SIX MONTHS ENDED 31 DECEMBER 2014

	Six Months to Dec 2014	Six Months to Dec 2013 (Restated)
	Shs'000	Shs'000
Net Revenue	2,674,878	7,132,846
Fair value (loss)/gain on biological assets	13,291	(37,952)
Cost of Sales	<u>(3,449,341)</u>	<u>(5,944,456)</u>
Gross (Loss)/ Profit	(761,171)	1,150,438
Other Operating Income	69,569	108,753
Marketing and Distribution costs	(274,541)	(385,963)
Administrative Expenses	(584,895)	(782,613)
Other operating expenses	(236,041)	(336,940)
Finance Income	88,937	154,176
Finance costs	<u>(378,748)</u>	<u>(315,201)</u>
Loss before taxation	(2,076,890)	(407,351)
Taxation Credit	<u>623,067</u>	<u>122,205</u>
Loss after taxation	(1,453,823)	(285,145)
 TOTAL COMPREHENSIVE LOSS FOR THE PERIOD	 <u><u>(1,453,823)</u></u>	 <u><u>(285,145)</u></u>
	Shs	Shs
Earnings per share - basic & diluted	<u><u>(0.95)</u></u>	<u><u>(0.19)</u></u>

MUMIAS SUGAR COMPANY LIMITED
CONDENSED STATEMENT OF FINANCIAL POSITION
AT 31 DECEMBER 2014

	31 Dec 2014	30 June 2014
	Shs'000	Shs'000
ASSETS		
Non-current assets	18,517,646	19,209,782
Current assets	<u>3,562,483</u>	<u>4,353,304</u>
TOTAL ASSETS	<u>22,129,755</u>	<u>23,563,086</u>
 EQUITY AND LIABILITIES		
Shareholders' equity	9,187,982	10,641,805
Non-current liabilities	2,210,094	2,286,132
Current liabilities	<u>10,731,679</u>	<u>10,635,149</u>
TOTAL EQUITY AND LIABILITIES	<u>22,129,755</u>	<u>23,563,086</u>

MUMIAS SUGAR COMPANY LIMITED
CONDENSED STATEMENT OF CHANGES IN EQUITY
FOR SIX MONTHS ENDED 31 DECEMBER 2014

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2013	3,060,000	3,173,432	7,149,058	13,382,490
Total comprehensive loss for the period - 2013	-	-	(285,145)	(285,145)
At 31 December 2013	<u>3,060,000</u>	<u>3,173,432</u>	<u>6,863,913</u>	<u>13,097,345</u>
At 1 July 2014	3,060,000	3,071,442	4,510,363	10,641,805
Total comprehensive loss for the period - 2014	-	-	(1,453,823)	(1,453,823)
At 31 December 2014	<u>3,060,000</u>	<u>3,071,442</u>	<u>3,056,540</u>	<u>9,187,982</u>

MUMIAS SUGAR COMPANY LIMITED
CONDENSED STATEMENT OF CASH FLOWS
FOR SIX MONTHS ENDED 31 DECEMBER 2014

	2014	2013
	Shs'000	Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Net cash used in operations	(281,543)	(888,084)
CASH FLOWS FROM INVESTING ACTIVITIES		
Net cash used in investing activities	(19,815)	(112,742)
CASH FLOWS FROM FINANCING ACTIVITIES		
Net cash (used in)/generated from financing activities	(73,812)	548,851
DECREASE IN CASH AND CASH EQUIVALENTS	(375,169)	(451,975)
CASH AND CASH EQUIVALENTS AS AT 1 ST JULY	(1,328,839)	(940,281)
CASH AND CASH EQUIVALENTS AS AT 31 DECEMBER	(1,704,008)	(1,392,256)

BASIS OF PREPARATION

These condensed unaudited interim financial statements have been prepared in accordance with International Accounting Standard No. 34, "Interim Financial Reporting". They do not include all the information required for full annual financial statements and should be read in conjunction with the annual audited financial statements as at and for the year ended 30 June 2014, which have been prepared in accordance with International Financial Reporting Standards. The accounting policies and methods of computations followed in the preparation of these interim financial statements are the same as those used in preparation of the annual financial statements as at and for the year ended 30 June 2014.

SUGAR INDUSTRY

During the period under review, the sugar industry continued to experience a significant shortage of sugar cane in the Western Kenya sugar belt. The effect of proliferation of mills in the region continued to bite as competition for sugarcane remained evident through cane poaching. The situation was further aggravated by falling yields of cane per hectare due to low soil fertility, poor crop husbandry due to high agricultural input costs and unpredictable rain patterns. The local sugar market continued to experience depressed prices following the influx of illegally imported sugar. Counterfeit sugar has also adversely affected Mumias Sugar market share.

OPERATIONS

The prolonged and non scheduled out of crop (OOC) factory maintenance undertaken during the peak months of October, November and December was necessitated by the acute cane shortage that compelled the factory to receive low maturity cane (below 12 months) that only led to poor sugar recoveries and higher cost of production and as such there was a clear need to give cane time to grow and curtail further depletion of margins. The maintenance was prolonged to make up for the deferred 2013 scheduled maintenance which never took place due to cashflow constraints.

CHALLENGES FACING THE COMPANY

Low production, high unit cost of production and low product prices resulting from the cheap illegal imports mentioned above continue to be the main challenges facing the Company. High unit cost of production arises from under utilization of factory capacity due to low cane supply and poor sugar recovery from low maturity cane. These challenges have exacerbated the current cash flow constraints facing the company and strained its ability to make good its liabilities as and when they fall due.

RESULTS OVERVIEW

The company recorded a pretax loss of Ksh 2.08 billion during the period as a result of the OOC shutdown explained above. The revenues were impacted by the production time lost during the

two and half months maintenance shut down as well as cane shortage and a lower average net price per tonne of sugar realized during the first quarter.

However, the company controlled its costs through various deliberate management initiatives and achieved 23% overall reduction in operating costs: Direct production overheads fell by 18% while other indirect costs including marketing, distribution and administration costs decreased by 27%.

Sugar

Sugarcane crushed totaled 443,425 tons a decrease of 54% compared to a similar period last year. Sugar produced & sold was 30,897 and 32,658 tons respectively. Sugar prices declined by 9% due to lower world market prices and the huge impact of the unfair trade practices (i.e. influx of illegal imports into the market).

Energy

Revenue from power exports was 33% lower than previous year due to challenges relating to availability of raw materials as well as the adverse effect of the shut down. The low export tariffs gotten from KPLC for power exports also continues to have a negative impact on our energy revenues; The Company is however pursuing a review of power export tariffs with KPLC through a reviewed Power Purchase Agreement (PPA) to improve future energy returns.

Ethanol

Revenue from ethanol decreased by 23% mainly attributable to the two and half months OOC shut down. Going forward, this performance will improve once the current management initiatives to keep the Ethanol plant running independent of the sugar plant through bagasse and molasses procurement are implemented. The company is also considering reviewing the ethanol prices upwards to match with current prevailing market prices.

Water

The water plant operated independent of all the other plants and was not affected by the shut down but continues to face challenges in a crowded water market.

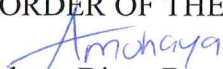
OUTLOOK

Despite the challenges highlighted, the company looks forward to better performance in the second half of the year following successful resumption of production from 30th December 2014 after the two and half months maintenance shutdown. The current dry spell has enabled access to low lands thus boosting cane deliveries. Cane maturity has improved and sugar recovery has been optimized. Sugar prices will remain volatile in the coming months while ethanol market remains promising. We forecast that the half year loss reported above will be reduced during the second half to June 2015.

In addition, the Board and Management are fully committed and are currently pursuing the following medium and long term strategies aimed at turning around the company's performance:

- Changing to a leaner organizational and management structure to achieve increased efficiency and responsiveness to critical stakeholder issues.
- Re-engineering the route to market strategy, sustaining brand equity and controlling cost of production, administration and marketing.
- Developing a new model of engagement with farmers aimed at enhancing farmer loyalty, cane development and timeliness of farmer payments. This will assure current and future supply of quality sugar cane.
- Restructuring of existing long term loans involving rescheduling of repayments to 5 years inclusive of 2 years moratorium.
- Negotiating payment schedules with creditors to assure continuity of operations.

BY ORDER OF THE BOARD


Amuhaya Diana Barasa

Company Secretary (Ag)
05 March 2015